# Where's the "Middle"? Who are the "Middle Class"?

Presentation for Econ 574

ARASH MASHHADI FARAHANI

May 9, 2012

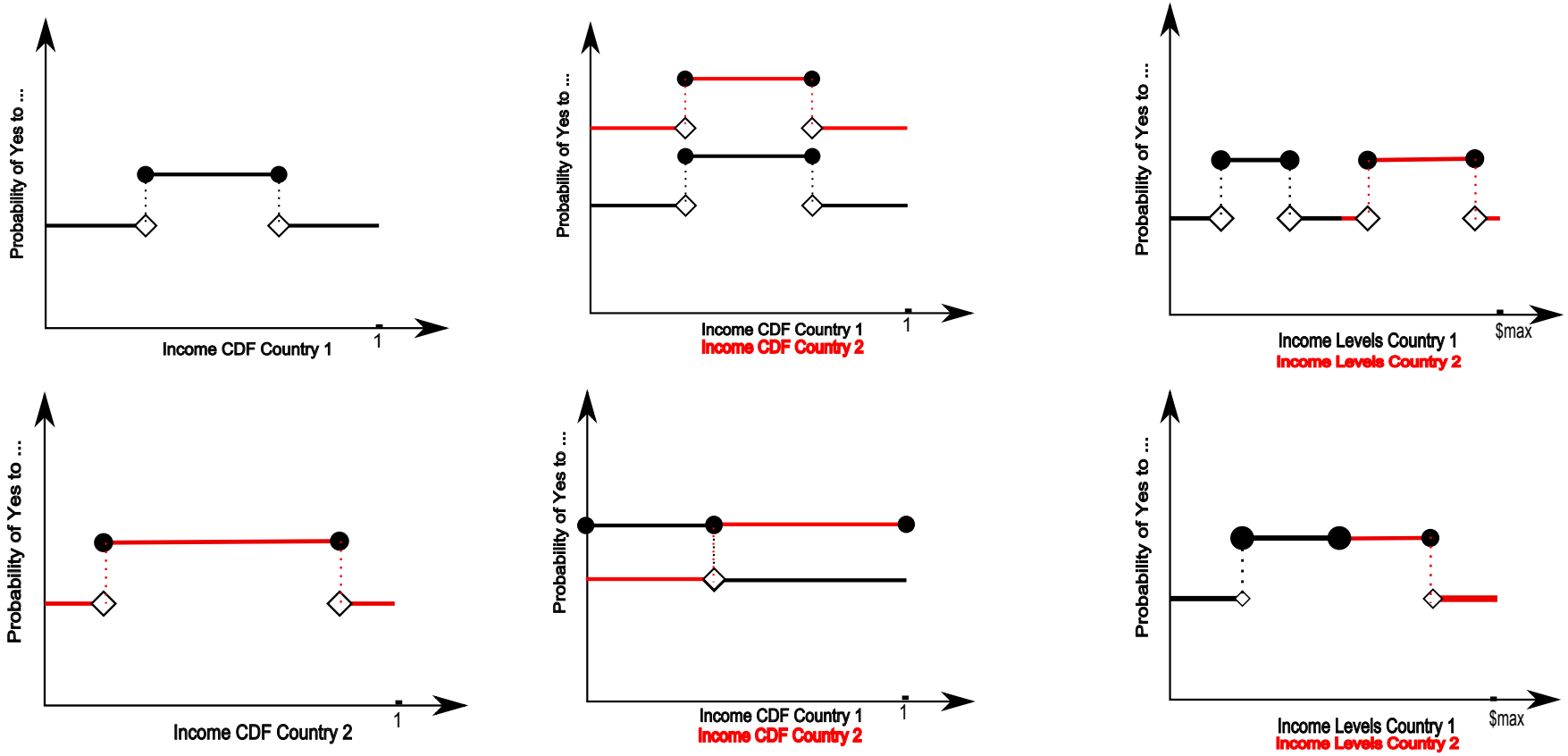
# What have "People" meant by "social class"? What do I mean by "Middle Class"?

- Social class is a set of concepts in the social sciences and political theory centered on models of social stratification in which people are grouped into a set of hierarchical social categories.
  - Essential object of analysis for sociologists, political scientists, anthropologists and social historians.
  - No consensus on the definition of the term "class".
  - "socio-economic class," is defined as "people having the same social, economic, or educational status,"
- The middle class is a class of people in the middle of a societal hierarchy. Being educated, Holding common values, and having a similar lifestyle are often ascribed in modern usage to a "middle class".
- I expect the "middle class" to have some social or political function e.g. drive the country towards democracy or immorality or war or economics growth!
- I suspect that having a certain common value system or common beliefs and interests will dictate specific functions.
- I want to explore whether the "middle class" defined through the lens of "economic status" will share such suspect common values.

# Research Question

- Does “economic status” cause “common values”? Do “middle class” hold different values than those of the rest of the population?
- Economics status:
  - Occupation
  - Income
    - Relative Income: How much is a person earning relative to his/her neighbourhood?
    - Absolute Income: How much is a person’s purchasing power? What does he afford to buy?
- Common Values:
  - Democratic Values
  - Religion and Morality
  - The Environment
  - Life Satisfaction
  - Entrepreneurial attitudes
- During the next 3 minutes: What’s to be identified? Who is in the “middle”?
  $\rightarrow$ What’s the effect of Relative Income on Democratic Values?

# What's to be identified? via Illustration of Extremes



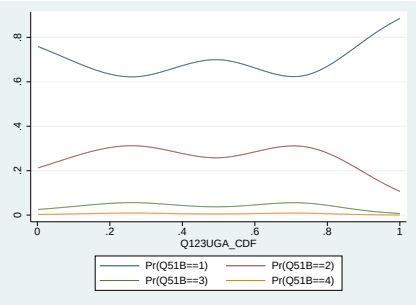
# Data, Sample Question, Model

- Data:
  - Pew Global Attitudes Project, Spring 2007 Survey Data
  - 47-Nation Survey Conducted April 2 to May 28, 2007
  - There's data on age, education, sex,... but income data is categorical.
- Example survey Question:
  - Q51B: honest elections are held regularly with a choice of at least two political parties:Very Important, Somewhat Important, Not Too Important, Not Important At All.
  - which of these is MOST important to you?
    1. Being free to say whatever you want in public
    2. Being free to practice your religion
    3. Being free from hunger and poverty
    4. Being free from crime and violence
- Model:

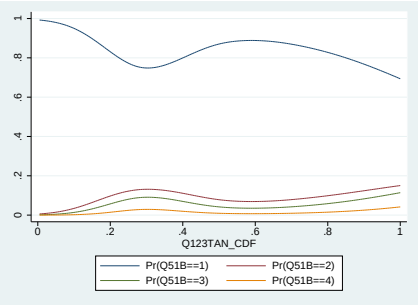
$$Pr(Y = i) = g(F(income), X) \qquad i = 1, 2, ..., K$$

  - $Y$ is the survey question response and $F$ is the CDF of income.
    $\rightarrow$ Fractile Regression. See (SEN and CHAUDHURI, 2012)
  - $g$ is an unknown function.
    $\rightarrow$ Any nonparametric regression. I use cubic splines.
  - $X$ is other explanatory variables. I'm considering none now.
  - Survey Data $\rightarrow$ Ordered probit/logit or Multinomial probit/logit.

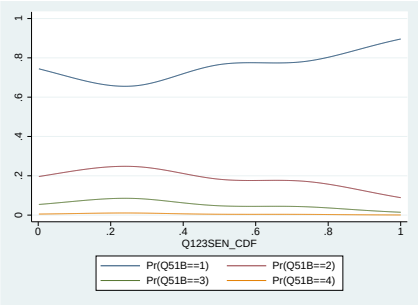
# Graphs à la Summary Statistics



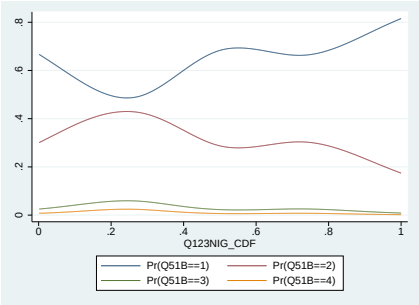

(a) Uganda



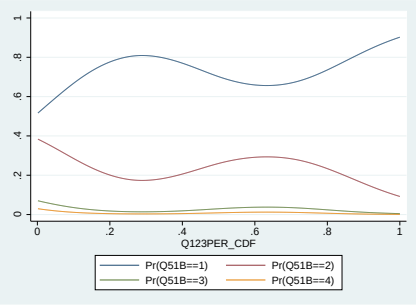

(b) Tanzania



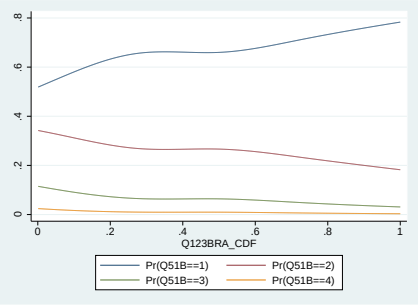

(c) Senegal



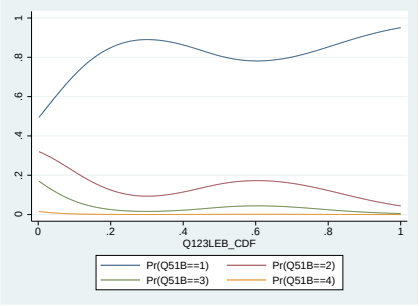

(d) Nigeria



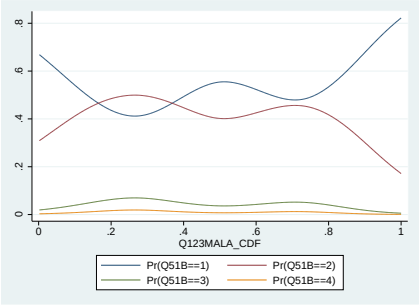

(e) Peru



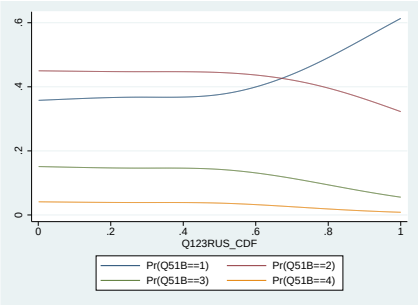

(f) Brazil



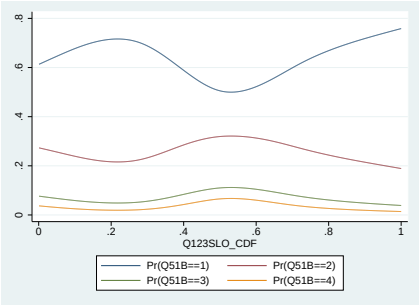

(g) Lebanon



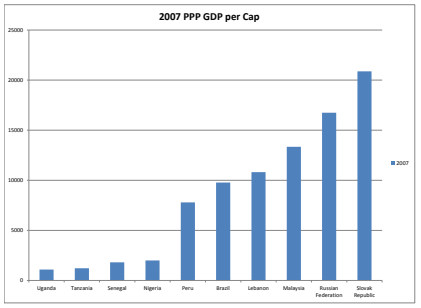

(h) Malaysia




(i) Russia




(j) Slovakia




(k) 2007 PPP per Cap GDP